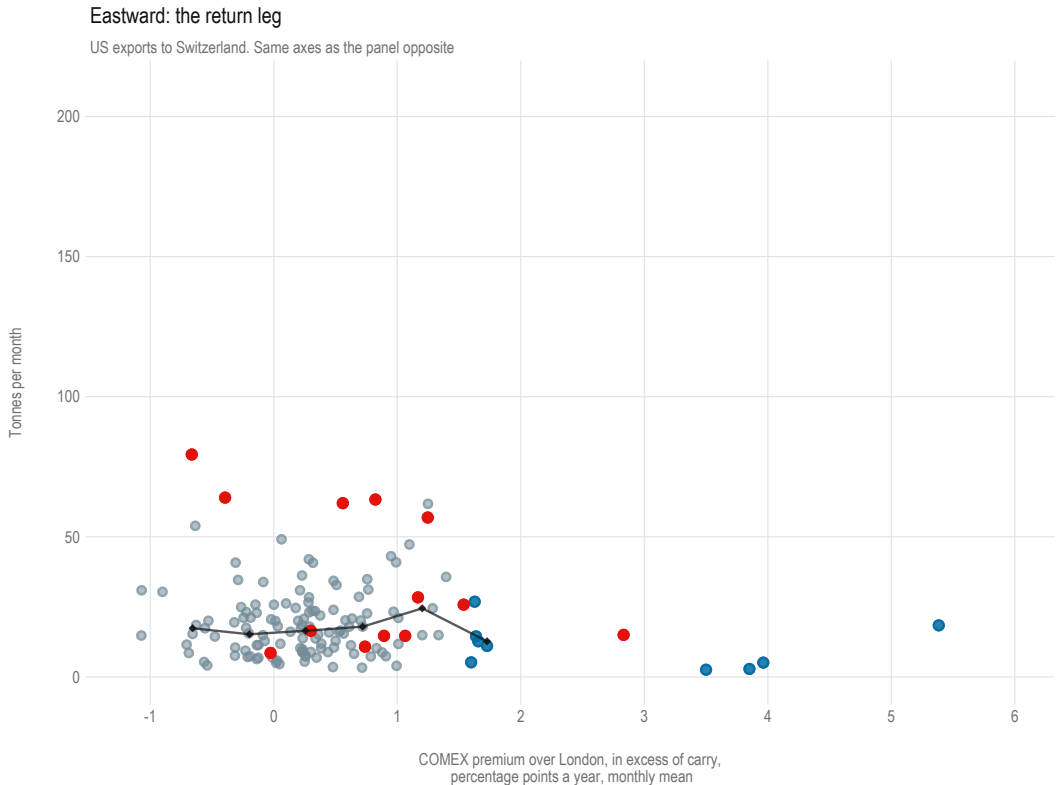




The metal came back, but not because it was paid to

The westward leg is arbitrage and has a threshold. The return east has neither: it began when the premium disappeared, not when it inverted



Correlation between the premium and the return flow is -0.08, and -0.04 against a six-month inventory overhang. This contradicts the project's standing assumption that the sign of the spread sets the direction of travel.

Sources: Swiss Federal Customs Administration; CME; LBMA; FRED

